INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Life Time Group Holdings

NYSE : LTH · Mature-Company DCF

16 May 2026 · the qualitative

$33.61

$7.46B mkt cap · 222M sh · $232M cash, $1.29B net debt · BB- credit

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THE CENTRAL QUESTION

Is Life Time a premium wellness platform with durable luxury economics — or a leveraged real estate vehicle whose positive FCF depends on perpetual $400M/year sale-leasebacks?

LTH trades at $33.61 ($7.5B mkt cap) on TTM revenue $3.0B and Adj EBITDA $824M (27.5% margin). 190+ premium athletic clubs, 891K members, 12-14 luxury openings/yr. But FY25 FCF $206M required $400M of sale-leaseback proceeds offsetting $870M capex — ex-SLB, operating FCF is zero. Bear: capital recycling unsustainable, leveraged real estate vehicle. Bull: luxury wellness category-of-one, SLB is smart financing. Today's price requires bull-case execution. Three scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

$22.26 expected fair value today
-33.8% vs spot $33.61

FORWARD COMPOUNDED VALUE

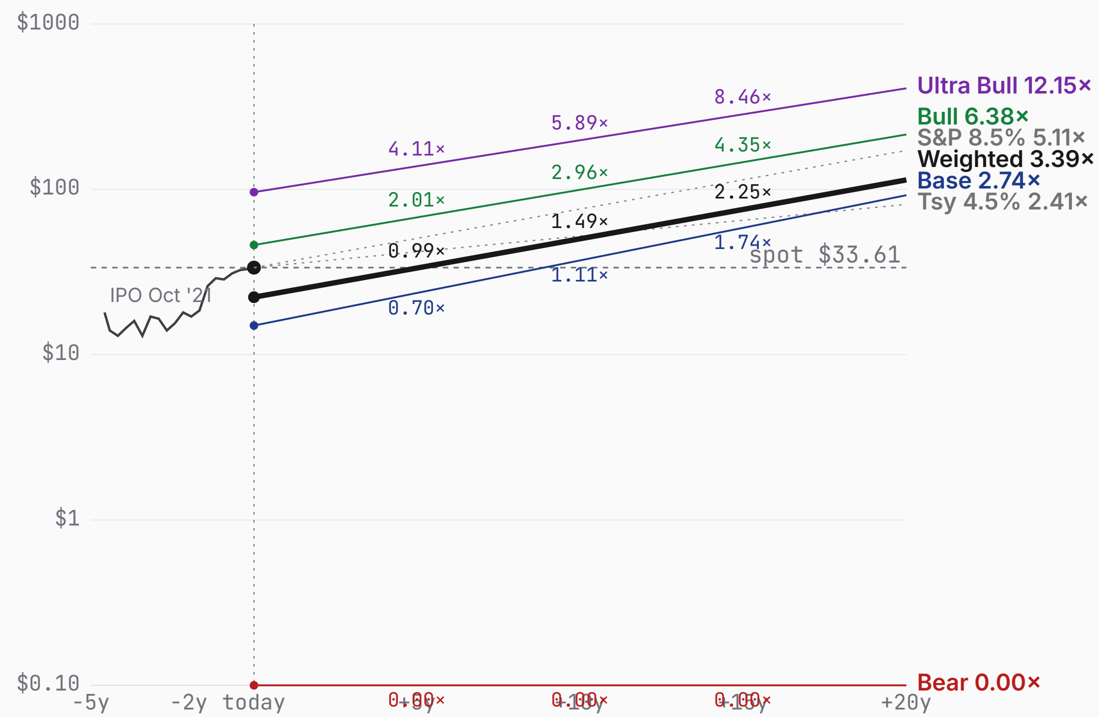
+5y	+10y	+15y	+20y
$33.42	$50.23	$75.62	$114.00
0.99× spot	1.49× spot	2.25× spot	3.39× spot

WEIGHTING RATIONALE

Bear 20% SLB-as-capital-recycling thesis structurally coherent but lacks traction vs FY24/25 execution.
Base 55% Modal outcome: LTH executes guidance, leverage stays in target.
Bull 20% Luxury wellness platform compounds; category-of-one; multiple expansion requires execution AND re-rating.
Ultra Bull 5% 250+ clubs by 2030 + ARPU $6,500 + SLB self-funded + multiple re-rates to 15x EV/EBITDA.

Bull (20%) + Ultra Bull (5%) together contribute $14.01 — 63% of the $22.26 expected value despite 25% combined probability. Today's spot ($33.61) sits 51% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



BEAR	BASE	BULL	ULTRA BULL
$0.00	$15.00	$46.04	$96.13
-100.0% vs spot	-55.4% vs spot	+37.0% vs spot	+186.0% vs spot
CAGR +5.1% WACC 11.0%	CAGR +7.8% WACC 9.5%	CAGR +9.8% WACC 8.0%	CAGR +12.0% WACC 7.5%
SLB $0.9B Prob 20%	SLB $1.7B Prob 55%	SLB $2.0B Prob 20%	SLB $3.0B Prob 5%
Capital recycling, not earnings.	Premium platform, leveraged structure.	Luxury wellness platform compounds.	Luxury category-of-one; 15x re-rate.

AR 2EB | ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO · LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Life Time Group Holdings scenario narratives

PROBABILITY WEIGHTS

Bear 20% Base 55% Bull 20% Ultra Bull 5% · Weighted expected $22.26 (-33.8% vs spot)

BEAR $0.00

-100.0% vs spot

Probability 20%

Capital recycling, not earnings.

WHY 20%

Bearish thesis is structurally coherent: LTH's headline FCF is dependent on SLB proceeds (~$400M/yr); strip those out and operating FCF is barely positive. Cumulative SLB program is finite (~$2B remaining); each SLB trades one-time cash for permanent rent increase. Net debt + capitalized lease obligations near $4B. If macro slows and luxury fitness spend compresses, FCF margin drops, stock works to $20-25. The 20% weight reflects that this thesis bumps against LTH's actual track record: FY24/25 execution strong, recent S&P upgrade validates the credit story, and new luxury club economics ($25-35M revenue vs $15-20M legacy) genuinely change the unit math.

WHAT HAPPENS

The pessimistic case is straightforward. LTH only delivers 'positive FCF' after $400M/year of sale-leaseback proceeds. Strip those out and operating FCF is barely positive — FY25 OCF $870M minus capex ~$870M equals zero before SLB. The reported $206M FY25 FCF is essentially $400M of real estate proceeds offset against expansion capex. This is capital recycling reported as cash generation.

The SLB program is finite. LTH has ~190 clubs, of which perhaps 40-50 remain owned outright after cumulative SLB transactions. At $40M average per club, that's roughly $2B of remaining real estate runway. At the planned $400M/year pace, the tap closes in 4-5 years — exactly the DCF horizon. Meanwhile rent obligations from prior SLBs (~$300M/yr and growing) compound — every SLB trades a one-time cash inflow for a permanent operating expense increase.

BASE $15.00

-55.4% vs spot

Probability 55%

Premium platform, leveraged structure.

WHY 55%

Modal outcome. LTH executes guidance: revenue grows 11% FY26, decelerating to mid-single-digits. EBITDA margin holds 28-30% (top quartile for consumer services). New 2026 club openings (1.2M sq ft, mostly luxury) mature over 3-4 years. SLB cadence holds for 2-3 more years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target. The 55% weight reflects that this requires the least faith — sequential execution on plans already in motion. The base case is well-run but priced for steady-state execution; the multiple stays compressed.

WHAT HAPPENS

The middle path takes LTH's recent execution at face value. Revenue grows 11% in FY26 per guidance, decelerating to mid-single-digits as the base builds. Adjusted EBITDA margin holds in the 28-30% range — top quartile for consumer services. Average revenue per membership grows from $3,531 toward $4,000 as new luxury clubs ramp at higher price points.

New club economics are unique: 1.2M sq ft of 2026 openings is concentrated in resort-style luxury formats generating $25-35M annual revenue at maturity vs $15-20M for legacy. Maturation takes 3-4 years; 2026 openings contribute meaningfully only by 2028-29. SLB cadence holds at $300-400M for 2-3 years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target.

BULL $46.04

+37.0% vs spot

Probability 20%

Luxury wellness platform compounds.

WHY 20%

Multi-decade luxury wellness platform compounding. LTH is genuinely a category-of-one — no other US operator at premium luxury athletic country club scale (Equinox is private and smaller; gym chains are budget-positioned; boutique concepts are single-discipline). In-center revenue (Dynamic PT, MIORA hormone optimization, swim lessons, pickleball clinics, spa, cafe) compounds faster than dues. EBITDA margin expands toward 30%+ as new-club mix shifts to higher-revenue luxury formats. The SLB flywheel sustains: 12-14 new luxury clubs/year become future SLB inventory 5-7 years later. The 25% weight reflects that multiple expansion (15x P/E to 22-25x) is plausible but requires both execution AND market re-rating — the conjunction is demanding.

WHAT HAPPENS

The bull case is that Life Time is a category of one. There is no other US operator at the premium luxury athletic country club scale — Equinox is private and smaller, gym chains are budget-positioned, boutique concepts are single-discipline. LTH's 'Country Club' positioning combines fitness, racquet sports, kids, pools, dining, work-from-club spaces, and recovery in a single membership.

In-center revenue compounds faster than membership dues — Dynamic Personal Training, swim lessons, pickleball clinics, MIORA hormone optimization, Life Spa, Life Cafe. In-center revenue per member grows from $1,050 toward $1,400-1,500. SLB program sustains: as LTH opens 12-14 new luxury clubs/year, each becomes future SLB inventory 5-7 years later. The flywheel: build → operate → SLB → recycle.

ULTRA BULL $96.13

+186.0% vs spot

Probability 5%

Luxury category-of-one; 15x re-rate.

WHY 5%

Joint conditional: 250+ clubs by 2030 (40%) AND ARPU $6,500+ achieved via medspa/recovery upsell (50% conditional on club growth) AND SLB self-funded with bank capital (60%) AND multiple expansion to 15x EV/EBITDA (50%). Joint at 4-6%, reflected here at 5%. Tail of tails: LTH stops being a 'leveraged real estate compounder' and becomes a 'luxury wellness software-like compounder.'

WHAT HAPPENS

The ultra-bull case is that LTH compounds as the dominant luxury wellness platform AND the market re-rates. Network grows 191 → 250 clubs by 2030 at 15+ new clubs/year (vs 12-14 base). Average member spend rises from $4,500 to $6,500 annually as ultra-luxury services (medspa, nutrition science, recovery) drive ARPU. SLB program self-funds at 6% cap rate with bank financing. EBITDA grows to $1.5B+ by 2030.

Multiple expands from 9x EV/EBITDA (current) to 15x as growth story consolidates and capital structure de-risks. Result: $22.5B EV - $1.3B net debt = $21.2B equity ÷ 235M FY30 shares = $90/share. The ultra-bull case requires BOTH operational excellence AND multiple re-rating — most LTH bulls only price one of these.

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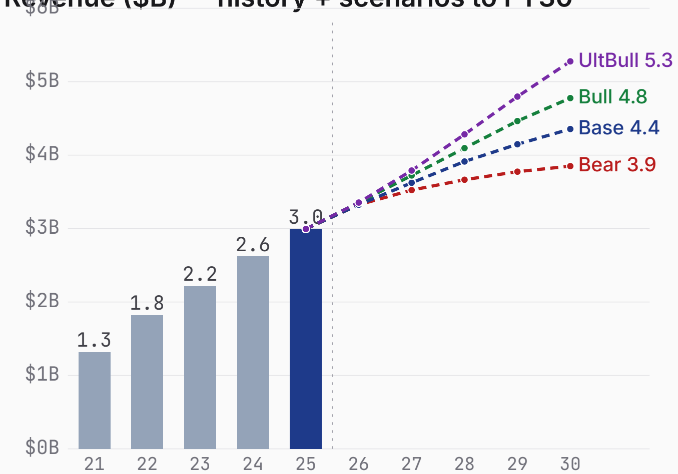
16 May 2026 · the snapshot

Life Time Group Holdings business snapshot

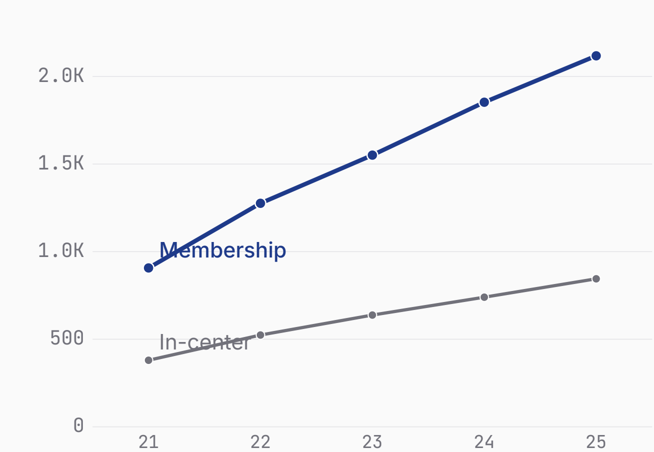
Bear $0.00 Base $15.00 Bull $46.04

FY23–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, S&P credit reports

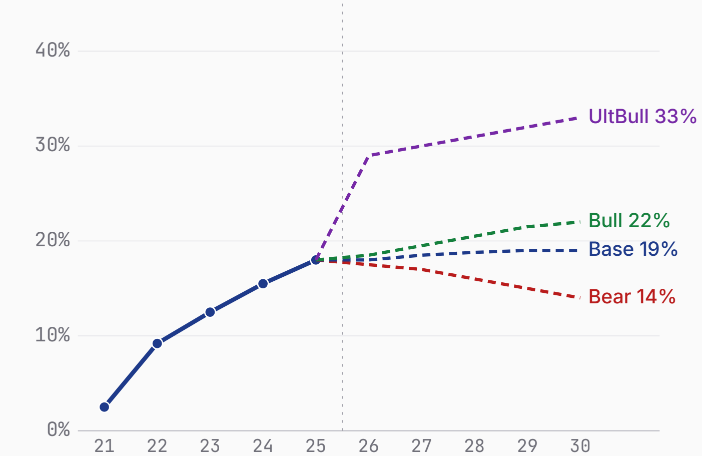
Revenue ($B) — history + scenarios to FY30



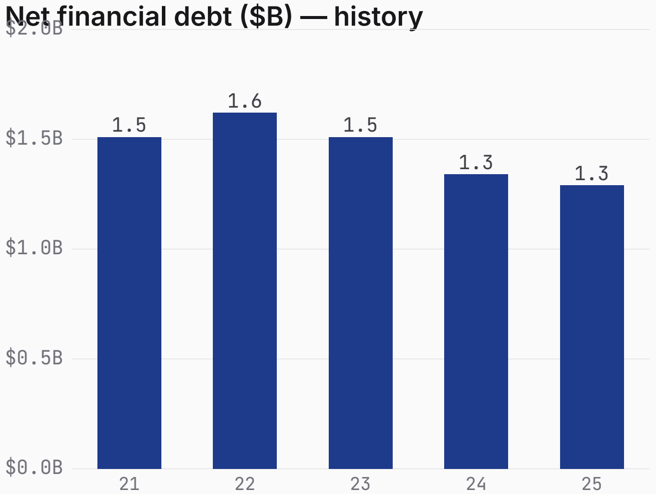
Revenue by segment ($M)



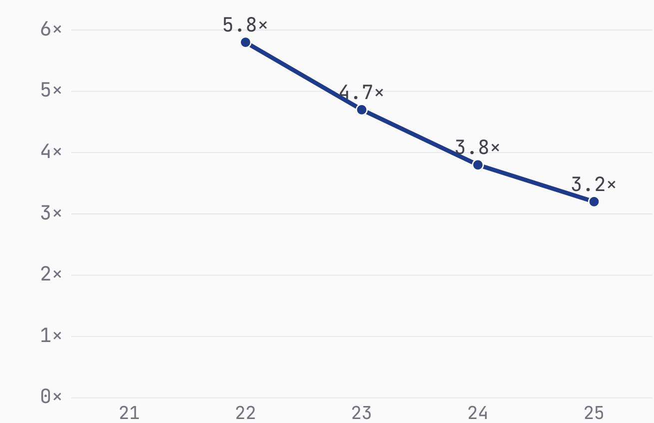
Op margin — history + scenarios



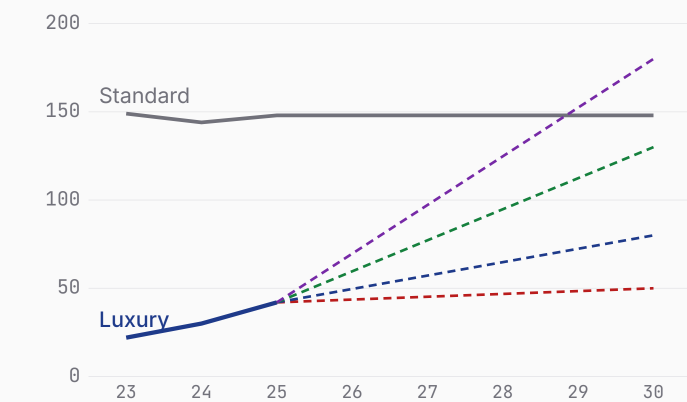
Net financial debt ($B) — history



EV / Revenue — historical



Club count — Luxury vs Standard



Sources: LTH 10-K FY25, Q1 2026 10-Q, S&P / Moody's credit reports, REIT comparables for SLB cap rates.

Life Time Group Holdings 7 Powers · the moat, scored

Bear $0.00 Base $15.00 Bull $46.04

Arena. Premium health-and-wellness clubs — Life Time vs Equinox (urban premium), boutique studios (Xponential et al.), value gyms (Planet Fitness), and at-home fitness.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	2/3	Large-format clubs + real-estate scale spread fixed cost; ancillary revenue (spa, cafe, work).
Network Economies	1/3	Member community/events create some stickiness; not a true network.
Counter-Positioning	2/3	Premium 'athletic country club' big-box that mass-market and boutiques can't straddle.
Switching Costs	2/3	Family memberships, onboarding, community and locker inertia.
Branding · thesis leans here	3/3	The premium destination brand in big-box fitness.
Cornered Resource	2/3	Prime, large-footprint real-estate locations that are hard to replicate.
Process Power	2/3	Club operating model + ancillary-revenue playbook honed over years.

PEER SET

Equinox — 6% gr · private
Urban ultra-premium; overlaps at the top end.

Planet Fitness — 10% gr · 36% mgn · ~20x EV/EBITDA
Mass-market low-price; a different segment, but caps pricing power below.

Boutique studios (Xponential) — 8% gr · 20% mgn · ~8x
Fragmented, asset-light franchising; cherry-picks modalities.

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Equinox + boutiques
falsifier: Same-club revenue growth < 5% for 2 consecutive years while membership churn climbs above 35%.

Switching Costs · Macro down-trade / at-home
falsifier: Dues-paying membership declines YoY in a non-recession year.

> COMPETITIVE READ
> A durable premium brand plus prime-real-estate moat that underwrites the DCF's terminal economics; the live risks are macro down-trade and Equinox at the top end — same-club revenue and churn are the erosion gauges.

Life Time Group Holdings show your work

Bear $0.00 Base $15.00 Bull $46.04 · Weighted $22.26 (-33.8%)

BEAR $0.00

ASSUMPTIONS

5y revenue CAGR (%)	+5.1
Year-5 op margin (%)	14.0
WACC (%)	11.0
Terminal growth (%)	1.5
5y SLB total ($B)	0.95
Starting revenue ($B)	3.00
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.13	+0.12
FY27	3.52	+17%	+0.18	+0.14
FY28	3.66	+16%	+0.15	+0.11
FY29	3.77	+15%	+0.11	+0.07
FY30	3.85	+14%	+0.08	+0.05

Σ PV explicit FCF	+0.49
+ PV terminal (g 1.5%)	0.49

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.98B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	$-0.08B
FY30 shares (M)	222
= Expected per share	**$0.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$0.00	$0.00	$0.00	$0.00
0.00×	0.00×	0.00×	0.00×

BASE $15.00

ASSUMPTIONS

5y revenue CAGR (%)	+7.8
Year-5 op margin (%)	19.0
WACC (%)	9.5
Terminal growth (%)	2.5
5y SLB total ($B)	1.70
Starting revenue ($B)	3.00
Scenario probability (%)	55

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.23	+0.21
FY27	3.62	+19%	+0.29	+0.24
FY28	3.91	+19%	+0.31	+0.24
FY29	4.15	+19%	+0.33	+0.23
FY30	4.36	+19%	+0.35	+0.22

Σ PV explicit FCF	+1.14
+ PV terminal (g 2.5%)	3.24

EQUITY BUILD · $B & PER SHARE

Operating EV	$4.39B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	$3.33B
FY30 shares (M)	222
= Expected per share	**$15.00**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$23.61	$37.17	$58.52	$92.12
0.70×	1.11×	1.74×	2.74×

BULL $46.04

ASSUMPTIONS

5y revenue CAGR (%)	+9.8
Year-5 op margin (%)	22.0
WACC (%)	8.0
Terminal growth (%)	3.0
5y SLB total ($B)	2.00
Starting revenue ($B)	3.00
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.35	+19%	+0.30	+0.28
FY27	3.72	+20%	+0.41	+0.35
FY28	4.10	+21%	+0.49	+0.39
FY29	4.46	+22%	+0.58	+0.43
FY30	4.78	+22%	+0.67	+0.46

Σ PV explicit FCF	+1.90
+ PV terminal (g 3.0%)	9.38

EQUITY BUILD · $B & PER SHARE

Operating EV	$11.28B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	$10.22B
FY30 shares (M)	222
= Expected per share	**$46.04**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$67.65	$99.40	$146.05	$214.59
2.01×	2.96×	4.35×	6.38×

ULTRA BULL $96.13

ASSUMPTIONS

5y revenue CAGR (%)	+12.0
Year-5 op margin (%)	33.0
WACC (%)	7.5
Terminal growth (%)	3.5
5y SLB total ($B)	3.00
Starting revenue ($B)	3.00
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	3.36	+29%	+0.35	+0.33
FY27	3.80	+30%	+0.50	+0.43
FY28	4.29	+31%	+0.70	+0.56
FY29	4.81	+32%	+0.90	+0.67
FY30	5.29	+33%	+1.10	+0.76

Σ PV explicit FCF	+2.75
+ PV terminal (g 3.5%)	20.90

EQUITY BUILD · $B & PER SHARE

Operating EV	$23.65B
+ Cash & investments	$0.23B
− Net debt	$1.29B
= Equity value	$22.59B
FY30 shares (M)	235
= Expected per share	**$96.13**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$138.01	$198.13	$284.44	$408.35
4.11×	5.89×	8.46×	12.15×

Life Time Group Holdings supporting analysis · disclaimers · glossary

Bear $0.00 Base $15.00 Bull $46.04

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Track record is strong.**
FY24-25 execution delivered guidance; S&P upgrade validates credit. Removes the leveraged-real-estate-vehicle framing.

2 **New club economics shift mix.**
1.2M sq ft of 2026 luxury openings generate $25-35M revenue vs $15-20M legacy. Unit economics improving, not deteriorating.

3 **Category-of-one positioning.**
No US operator at LTH's premium luxury athletic country club scale. Equinox private + smaller; gym chains budget; boutiques single-discipline.

4 **In-center monetization compounds.**
Dynamic PT, MIORA, pickleball, spa, cafe — in-center revenue per member growing from $1,050 toward $1,400-1,500. High-margin, recurring.

5 **SLB flywheel sustains.**
New clubs become future SLB inventory in 5-7 years. Cadence of $400M/yr can persist as long as new construction continues.

FALSIFICATION TRIGGERS

Bear validation

FY27 revenue growth < 5% · SLB cadence < $300M/yr · Net debt / EBITDA > 2.5x · Credit rating downgraded below BB-

Bull validation

FY27 revenue growth > 9% · EBITDA margin > 30% · In-center revenue per member > $1,250 · P/E multiple expands above 18x

Reframe needed

If Equinox or comparable luxury operator IPOs at premium multiple — establishes valuation comparable for LTH multiple expansion

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Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

SLB — Sale-leaseback. LTH sells owned club property to a REIT and leases it back. Converts capital to liquidity; adds permanent rent.

MIORA — Hormone optimization and longevity service line. New higher-margin in-center revenue category, central to the bull ARPU thesis.

Athletic Country Club — LTH's positioning — luxury multi-discipline format combining fitness, racquet sports, pools, kids, dining and recovery.

In-center revenue — Revenue beyond membership dues: PT, classes, spa, cafe, retail. Currently ~30% of total; compounds faster than dues.

Dynamic PT — Personalized training program. Highest-margin in-center revenue stream and a key ARPU driver as the luxury mix grows.

Lease-adjusted leverage — Per ASC 842, capitalized operating lease liabilities included in total obligations. Adds ~$2.5B+ to $1.29B net debt.